

SQE SmallCase

SMC Quant Equity — Systematic Multi-Factor Equity Strategy

All Indices (759) - Performance & Backtest Report

Backtest 2020-01 -> 2026-08 - 80 months

Minimum Investment: Rs.1.25 lakhs (Rs.1,25,000)

42.1%

CAGR

940%

Total Return

4.80

Ex-Ante Sharpe

6.56

Ex-Ante Sortino

Prepared August 2026 - Universe: All NSE indices (759 stocks) - Data as of 09 August 2026

Strategy: Base (unhedged) - conviction-weighted (10% cap/name), monthly rebalance

Returns are NET of a 0.3% per-trade turnover cost.

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Executive Summary

SQE SmallCase is a fully systematic, rules-based Indian-equity strategy run on the broadest universe - all NSE index constituents (759 stocks). Each month the model ranks the universe and holds a concentrated, conviction-weighted basket of its highest-conviction names (capped at 10% per position), rebalanced on a fixed monthly cadence. Over the 80-month backtest (2020-01 - 2026-08) the Base strategy turned Rs.1 into Rs.10.40 - a 42.1% CAGR versus 13.8% for the Nifty 500 benchmark, an annual alpha of 28.3%.

Risk was contained despite the high return: a maximum drawdown of -23.5% (shallower than the benchmark's -29.0%), portfolio beta of 0.62, and a win rate of 71% of months. Forward-looking basket quality is strong: Ex-Ante Sharpe 4.80 and Ex-Ante Sortino 6.56.

Key Performance Indicators

42.1% CAGR	940% Total Return	28.3% Alpha vs Bench	4.80 Ex-Ante Sharpe
6.56 Ex-Ante Sortino	1.79 Calmar	-23.5% Max Drawdown	24.1% Volatility
71% Win Rate	3.29 Profit Factor	1.65 Info Ratio	0.62 Portfolio Beta

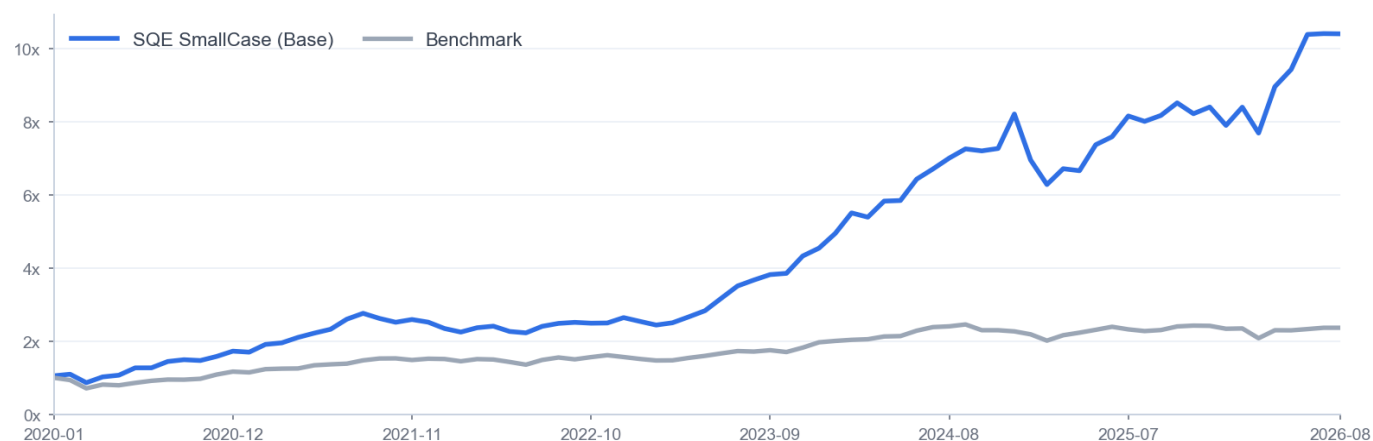
Methodology - High Level

Selection engine (proprietary). Each month the model scores the entire 759-stock universe on a multi-factor quantitative framework combining trend, relative-strength, momentum-quality and risk characteristics, then ranks and selects the top-conviction names. The exact factors, weights and ranking logic are proprietary and intentionally not disclosed in this document.

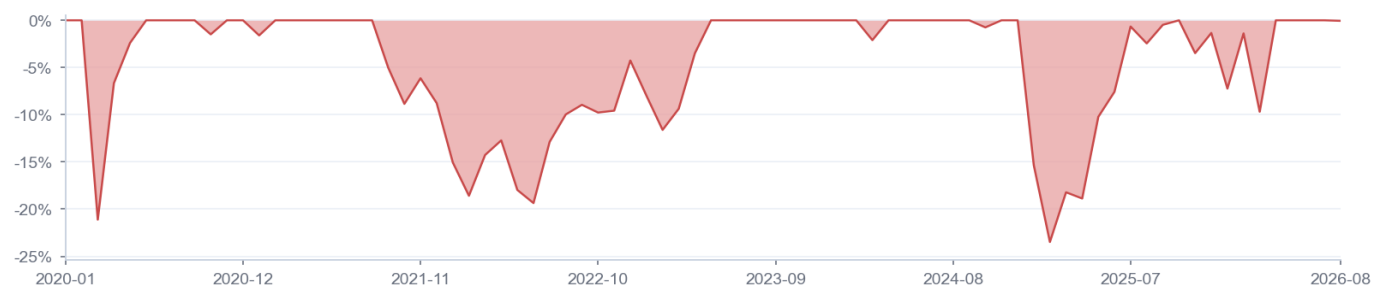
Construction & rebalancing. The chosen names form a conviction-weighted basket - position sizes scale with model conviction and are capped at 10% per name - rebalanced monthly with add/remove churn tracked each cycle; the book is managed to a beta below the market. Risk-adjusted quality is reported forward-looking via Ex-Ante Sharpe / Sortino, computed from the daily-return covariance (and downside semi-covariance) of the CURRENT holdings.

Growth of Rs.1 - Strategy vs Benchmark

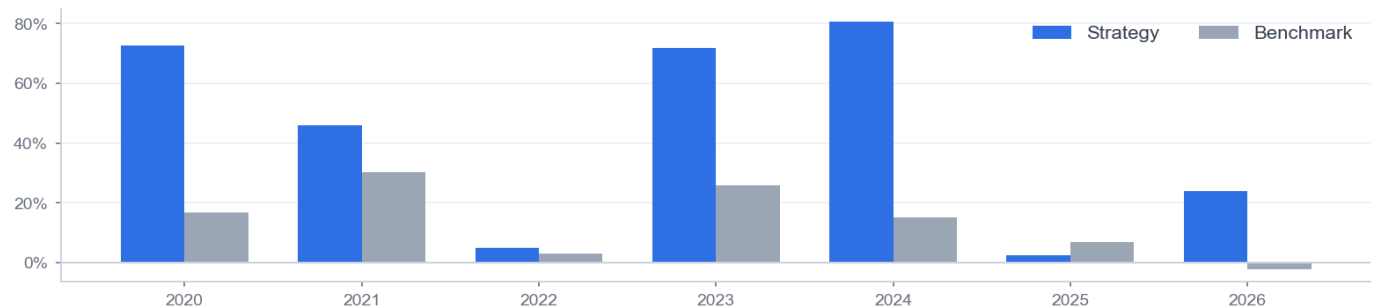
Compounded backtest, 2020-01 = Rs.1.00. Nifty 500 TR benchmark.



Drawdown (underwater curve)



Calendar-Year Returns (%)



Full Performance Metrics

Return		Risk	
CAGR	42.1%	Volatility	24.1%
Total Return	940%	Downside Dev	23.9%
XIRR	42.1%	Max Drawdown	-23.5%
Alpha vs Bench	28.3%	DD Duration	20 mo
Rolling 1Y	46.5%	VaR 95%	-7.0%
Rolling 3Y	190.0%	VaR 99%	-16.6%
Best Month	18.8%	CVaR 95%	-13.6%
Worst Month	-21.1%	CVaR 99%	-21.1%

Risk-Adjusted (Ex-Ante)		Trade	
Ex-Ante Sharpe	4.80	Win Rate	71%
Ex-Ante Sortino	6.56	Profit Factor	3.29
Calmar	1.79	Expectancy	3.2%
Information Ratio	1.65	Avg Gain	6.5%
Portfolio Beta	0.62	Avg Loss	-4.9%
Latest Stock Count	30		

Monthly Returns Heatmap (%)

Strategy Base monthly return. Green = gain, red = loss. FY column = calendar-year compounded return.

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	FY
2020	5.2	4.1	-21.1	18.3	4.6	18.8	0.1	13.6	3.4	-1.5	7.6	9.2	+73%
2021	-1.6	12.4	2.2	7.6	5.6	4.7	11.9	6.2	-5.0	-4.0	3.0	-2.8	+46%
2022	-6.9	-4.2	5.3	1.8	-6.0	-1.7	8.0	3.3	1.1	-0.9	0.2	5.9	+5%
2023	-3.9	-3.9	2.5	6.5	6.3	12.0	10.6	4.6	4.0	0.9	12.3	5.0	+72%
2024	8.9	11.3	-2.1	8.1	0.3	10.0	4.3	4.4	3.6	-0.8	0.9	13.0	+81%
2025	-15.3	-9.6	6.9	-0.8	10.7	3.0	7.5	-1.8	2.0	4.2	-3.5	2.2	+2%
2026	-6.0	6.3	-8.4	16.5	5.2	10.2	0.2	-0.1					+24%

2026-08 is a part-month: figures reflect data to 09 August 2026.

Portfolio Characteristics Over Time

Portfolio Beta (vs market)



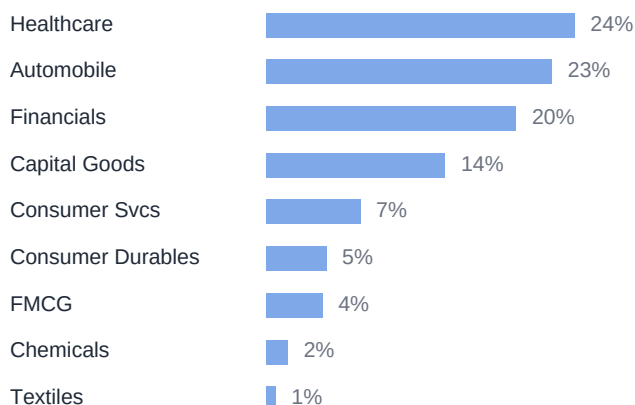
Number of Holdings



Current Book - Sector Allocation & Holdings

As of 2026-08 - 30 positions, conviction-weighted (10% cap/name).

By Sector



All Holdings (30)

Symbol	Sector	Wt%	Beta
ATHERENERG	Automobile	10.0	0.93
PIRAMALFIN	Financials	10.0	0.07
BELRISE	Automobile	10.0	0.34
CORONA	Healthcare	10.0	0.63
CANHLIFE	Financials	7.5	0.09
RUBICON	Healthcare	7.1	1.16
PARKHOSPS	Healthcare	7.1	0.93
CPPLUS	Capital Goods	5.1	0.99
LENSKART	Consumer Svcs	4.5	0.50
EMMVEE	Capital Goods	4.2	0.32
CUPID	FMCG	2.8	0.90
TVSMOTOR	Automobile	2.6	0.54
CHOICEIN	Financials	2.2	0.80
ATLANTAELE	Capital Goods	1.9	0.85
SKYGOLD	Consumer Durables	1.9	0.93
AETHER	Chemicals	1.7	0.14
AVL	Consumer Svcs	1.6	0.12
SHAILY	Consumer Durables	1.6	0.63
JSLL	Consumer Svcs	1.3	0.69
GOKULAGRO	FMCG	1.2	0.71
SMLMAH	Capital Goods	1.1	1.13
PGIL	Textiles	0.7	0.85
PGEL	Consumer Durables	0.7	0.98
TARIL	Capital Goods	0.7	1.06
APARINDS	Capital Goods	0.6	1.08
BLUESTONE	Consumer Durables	0.6	0.62
DIACABS	Capital Goods	0.5	1.73
TI	FMCG	0.4	0.92
HCG	Healthcare	0.1	0.28
BSE	Financials	0.1	1.26

Notes on Metrics & Definitions

CAGR	Compound annual growth rate of the strategy over the backtest window.
Alpha vs Bench	Strategy CAGR minus benchmark (Nifty 500 TR) CAGR - annual out-performance.
Ex-Ante Sharpe	FORWARD-looking reward-per-total-risk of the CURRENT basket, from the annualised daily-return covariance of holdings (headline risk-adjusted measure used here).
Ex-Ante Sortino	As Ex-Ante Sharpe but the denominator uses downside semi-covariance (losing days only) - penalises only downside risk.
Calmar	CAGR divided by the absolute maximum drawdown - return per unit of worst-case loss.
Volatility / Downside Dev	Annualised standard deviation of monthly returns (all months / losing months only).
Max Drawdown / DD Duration	Deepest peak-to-trough fall on the equity curve / longest underwater stretch.
VaR / CVaR 95%	Monthly loss exceeded only 5% of the time / average loss when that tail occurs.
Information Ratio	Excess return over benchmark divided by tracking error - consistency of out-performance.
Win Rate / Profit Factor	Share of positive months / gross gains divided by gross losses.
Portfolio Beta	Weighted sensitivity of the current holdings to the market (< 1 = defensive).

Important Disclosures

All performance figures are BACKTESTED / simulated results generated by the SQE SmallCase engine over 2020-01 - 2026-08 (80 months) for the Base (unhedged) strategy on the 759-stock All-Indices universe. Returns are NET of a modeled 0.3% per-trade turnover cost (charged on the value of quantity bought/sold at each monthly rebalance). Other frictions - STT, statutory/exchange charges, GST, stamp duty, and slippage/market impact - are NOT modeled. Backtested performance is hypothetical, does not represent actual trading, and is prepared with the benefit of hindsight. The final month (2026-08) is incomplete and reflects data to 09 August 2026.

Ex-Ante Sharpe and Ex-Ante Sortino are forward-looking, model-derived estimates based on the current holdings' return covariance; they are not realised results and will differ from ex-post ratios. Past performance - simulated or actual - is not a reliable indicator of future results. Investment in securities is subject to market and other risks; value can fall as well as rise. The proprietary selection methodology is summarised at a high level only and its specific signals are not disclosed. This document is confidential, not investment advice, and not an offer to buy or sell any security. Consult a SEBI-registered adviser before investing.

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Data source: SQE SmallCase backtest engine (All Indices 759), 2020-01 - 2026-08, 80 months, 0.3% turnover cost.